THE

USED VEHICLE PLAYBOOK

2026-27

Buy, verify and transfer a pre-owned car or bike in India - without losing the money, the paperwork or the vehicle.

9 free official checks before you pay | 40-point car inspection | 20-point two-wheeler check

10 printable worksheets | 63-term glossary | every rule traced to its source

A Digitalaikart original. Written for buyers, sellers and anyone who has ever waited two months for an RC.

Verified against the Motor Vehicles Act 1988, the CMVR 1989, Parivahan, IRDAI and the November 2026 Ease of Vehicle Ownership Index

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BEFORE YOU START

What this book is, and the five things that changed recently

This is a working manual for buying a pre-owned vehicle in India and getting it into your name. It is written for the buyer who has a lakh or two at stake and no uncle at the RTO. Every rule in it is traced to a statute, a rule, a government portal or a judgment, and every number is dated.

The book is organised in the order you will actually do things. Chapters 1 and 2 explain the market and the legal rule that makes the transfer the real purchase. Chapter 3 is the forty-minute check list you run before you negotiate. Chapters 4 to 6 are documents and inspection. Chapters 7 and 8 are price and payment. Chapters 9 to 12 are the transfer, the loan charge, the insurance and the inter-state move. Chapters 13 to 17 are the seller's side, city age rules, special situations, stuck files and remedies. The worksheets at the back are meant to be printed.

Five things that changed, and that most online guides still get wrong

1. The insurance transfer window is now thirty days, not fourteen. Section 157(2) of the Motor Vehicles Act was amended by the Jan Vishwas (Amendment of Provisions) Act, 2026, in force from 15 August 2026. IRDAI's consumer handbook still warns about fourteen days for own-damage claims, so fourteen is the deadline to work to.
2. Driving uninsured is no longer a small fine with a possible jail term. Since 15 August 2026 it is three times the base premium or Rs 5,000, whichever is higher, for a first contravention, and five times or Rs 10,000 for a repeat, with no jail term.
3. Removing a loan charge from the RC can now happen without you. From 1 March 2026, MoRTH and the Reserve Bank Innovation Hub connected hypothecation termination to the Unified Lending Interface, starting with State Bank of India and five NBFCs. If your seller's lender is on the system, the entry may already be gone; if it is not, Form 35 is still the only route.
4. The PUC rules are specific and most people get them wrong. After one year from first registration a PUC is mandatory; it is valid six months, or twelve months for BS-IV and BS-VI vehicles, under Rule 115(7) of the CMVR.
5. Delhi-NCR is a separate regime. The Supreme Court's 17 December 2025 interim order allowed enforcement against overage BS-III and older vehicles while protecting BS-IV and newer ones from action based on age alone, and the matter is still before the Court. Chapter 14 explains what that does to a purchase.

How to read the numbers in this book

Where a figure is a fee, it is the statutory fee under the Central Motor Vehicles Rules, and the text says so. Where a figure is a state charge, the text names the state. Where a figure comes from a study or a news report, the text names the study. Where the position is genuinely unsettled, the text says it is unsettled rather than picking the more convenient answer.

One habit matters more than any single fact in this book: before you pay anything, read the number on the government screen in front of you. Parivahan shows the exact fee breakup for your vehicle class before you pay. VAHAN shows the actual owner, the actual hypothecation status and the actual

insurance. Those screens are the source of truth. This book tells you which screens to open, in what order, and what to do when one of them says something you did not expect.

> **WHO THIS BOOK IS NOT FOR**
> It is not for someone who wants an agent to handle everything, because half its value is in doing four things yourself. It is also not a price guide: used vehicle prices move weekly and by city, and Chapter 7 teaches you how to price a vehicle rather than telling you what one costs.

CHAPTER 1

The 2026 market, in numbers

Every year, millions of Indians buy a vehicle from someone they have never met, hand over a lakh or more in cash or UPI, and then spend the next two months hoping the Registration Certificate arrives in their name. This chapter is about why that happens, how often it goes wrong, and what it costs when it does.

The used market is now bigger than the new one

India's pre-owned vehicle market was worth about USD 36.4 billion in 2025 and is projected to cross USD 73.5 billion by 2030, according to the Ease of Vehicle Ownership Index (EVOI) 2026, a study by Consumer VOICE with the India Tech Foundation that covered 15 states and more than 85 per cent of the organised used-car market. The same report notes that the used market already outsells the new market by volume, and expects the ratio to move from roughly 1.3 used vehicles for every new one today to 1.7 by 2030.

Redseer's 2026 work puts the current market at about USD 53 billion growing 14 to 18 per cent a year, and adds a detail that matters for how you read this book: about 65 per cent of used-car buyers are buying their first car ever. They are not experienced negotiators trading up. They are first-timers walking into the most paperwork-heavy purchase of their lives.

And almost none of it is organised

Roughly 79 to 80 per cent of used vehicle transactions still flow through unorganised channels: a neighbour, a mechanic, a broker, a Facebook Marketplace listing, a dealer with one shutter and no paperwork discipline. There is no national vehicle history report in India. VAHAN will tell you who is registered as the owner, what the hypothecation status is, whether the insurance is live and whether a PUC exists. It will not tell you whether the car was in a flood, whether the odometer was rolled back, whether the last owner drove it for a year without transferring it, or whether three accident claims were paid on it.

The EVOI report says this plainly: India has an "absence of a unified, verifiable vehicle history across ownership, insurance, liabilities, penalties, and enforcement records". That is the single most important sentence in this book. It means the verification work that a Carfax-style system would do for you has to be done by you, by hand, using free government services and a torch. That is exactly what Chapters 3 to 6 teach.

What the transfer process actually does to people

The EVOI survey of citizens who had completed a vehicle transaction found the following. Read these numbers slowly, because they are the reason this playbook exists.

- 39 per cent of respondents said their RC transfer was still pending after they had completed the transaction and paid for the vehicle.
- 61.5 per cent did not know a physical appearance at the RTO ("party peshi") was required until they reached the counter.
- 63 per cent could not accurately estimate the total cost of completing the ownership transfer.
- 63 per cent relied on intermediaries or agents to get the transfer done, because the process was too complex to handle alone.
- In 13 of the 15 states studied, applicants filed online and were still asked to physically deliver copies to the RTO.
- RC transfer time ranged from 7 to 10 days in Andhra Pradesh, where buyer, seller and lender all authenticate biometrically, to more than 30 days in Uttar Pradesh.
- Only Andhra Pradesh and Telangana were found to run a working road-tax refund for vehicles leaving the state.

The cost findings are worse than the delay findings. Twelve of the fifteen states scored below 3.5 out of 5 on the cost pillar. Manual verification and informal payments push the real cost of a transfer to nearly ten times the statutory fee. In Bihar, a single transfer was found to cost Rs 13,000 to Rs 14,000 over and above the fee shown on VAHAN. At border RTOs in Tamil Nadu such as Hosur and Krishnagiri, an official fee of about Rs 800 becomes Rs 7,000 to Rs 8,000 on the ground.

Separately, The Hindu reported in May 2026 on a Delhi Motor Accident Claims Tribunal order that examined a commercial vehicle which had changed hands several times without the RC ever being updated. The tribunal called it alarming and said there was an urgent need to plug the loopholes. Industry data cited in that report suggested fewer than 70 per cent of RC transfers are completed even within 60 days.

> **WHY THIS IS A 2026 STORY AND NOT A 2019 ONE**
> On 5 November 2026, Autocar India reported that the government is examining simplification of used vehicle ownership transfer, following the release of the EVOI index. On 9 November 2026, industry leaders publicly backed ownership transfer reform. The rules you are about to learn are current, but they are also in motion. Every chapter here tells you which part is law, which part is state practice, and which part is being actively discussed for change.

The five ways this purchase goes wrong

1. You pay for a vehicle that still has a live loan on it. The RC carries the financier's name, or a fake NOC says it does not. Months later the finance company traces the vehicle and takes it.
2. You buy a vehicle whose RC was never transferred by the previous owner, so the chain of ownership is broken. Now you are trying to transfer a vehicle from a person who legally was never the owner.
3. You complete the purchase but the transfer application stalls at the RTO, and the vehicle stays registered in the seller's name for months. If there is an accident, the seller is the owner in law, and the seller's insurer may be the one paying. Chapter 2 explains why this is not a technicality.

4 You buy a vehicle that is an End-of-Life Vehicle in Delhi-NCR, or one that a state has already blocked in its system. You cannot get a PUC, you cannot transfer it, and you cannot re-register it. The money is gone.

5 You buy a vehicle with a forged RC, a forged insurance certificate or a forged NOC from a syndicate, and you find out at the RTO counter, in front of the clerk, with the seller's phone switched off.

Every one of those five is preventable with free government checks and a disciplined payment sequence. None of them requires a lawyer, an agent, or a contact at the RTO.

CHAPTER 2

Who legally owns the vehicle after you pay

You can pay in full, take delivery, drive the vehicle home, and still not be the owner for the purposes of Indian motor vehicle law. This chapter explains the rule, the judgment behind it, and why the clock matters more than the receipt.

The definition that decides everything

Section 2(30) of the Motor Vehicles Act, 1988 defines "owner" as the person in whose name the motor vehicle stands registered. There is one exception: where the vehicle is the subject of a hire-purchase agreement, a lease, or an agreement of hypothecation, the person in possession under that agreement is treated as the owner.

Note the word "means". It is a definition, not a presumption. For the purposes of the Act, the registered owner is the owner. Your stamped agreement to sell, your payment receipt, your WhatsApp confirmation and your possession of the keys do not change that until the registering authority enters your name in the certificate of registration.

The judgment every used vehicle buyer should know

In Naveen Kumar v Vijay Kumar and Others (Civil Appeal No. 1427 of 2018, Supreme Court, judgment dated 6 February 2018), a car registered in the name of the first respondent had been sold on, and sold on again, and sold on again. The registration certificate was never updated. The car, uninsured on the date of the accident, killed a young man and injured his aunt. The Tribunal fastened liability on the registered owner. The High Court released him, holding that the last admitted owner should pay. The Supreme Court reversed the High Court and restored the Tribunal's award against the registered owner.

The reasoning is worth quoting in substance, because it is the reason this playbook treats the transfer as the purchase itself. The Court held that where the registered owner has purported to transfer the vehicle but continues to be reflected in the records of the registering authority as the owner, he does not stand absolved of liability. Parliament, the Court said, consciously framed Section 2(30) so that the victim of a motor accident, or the legal heirs of a deceased victim, are not left in a state of uncertainty, and a claimant ought not to be burdened with following a trail of successive transfers that were never registered.

Two practical consequences follow, and they run in opposite directions.

- If you are the buyer: until the RC is in your name, you are driving a vehicle whose legal owner is somebody else. That person's insurance, that person's liability and that person's name are attached to your vehicle.

- If you are the seller: until the RC is in the buyer's name, you are still the owner for the purposes of the Act. Selling does not release you. Handing over possession does not release you. Only the entry in the registration record does.

> **THE 22-STATE NUANCE, AND WHY YOU SHOULD NOT RELY ON IT**
> The EVOI 2026 report notes that 22 states have formally incorporated a "deemed ownership" framework into their regulatory rules, but that actual adoption on the ground remains limited, and the proportion of transfers processed through those mechanisms is well below its potential. Deemed ownership provisions can help a seller who has genuinely handed over the vehicle, but they are state-specific, inconsistently applied, and no substitute for the transfer itself. Treat them as a safety net, never as the plan.

The clock: four deadlines you must know

Section 50 of the Motor Vehicles Act sets out the transfer procedure, and the Central Motor Vehicles Rules, 1989 fill in the forms. Rule 55 is the operative rule. Here is the calendar.

Who	What they must do	Deadline	Source
Seller (transferor)	Report the transfer to the registering authority in Form 29, and send a copy of that report to the buyer. Same-state sale.	14 days from the transfer	Section 50(1)(a)(i); Rule 55(1)
Seller (transferor)	Where the vehicle is registered in another state, forward the NOC obtained under section 48 (or the receipt or postal acknowledgement if the NOC has not come), with a declaration.	45 days from the transfer	Section 50(1)(a)(ii)
Buyer (transferee)	Report the transfer in Form 30 to the registering authority where the buyer resides or where the vehicle is kept, with the RC, the insurance certificate and the prescribed fee.	30 days from the transfer	Section 50(1)(b); Rule 55(2)
Either party	If the deadline is missed, the registering authority may require payment of an amount up to Rs 100 in lieu of action under section 177. States may prescribe slabs by length of delay.	On default	Section 50(3), 50(5)

Parivahan's own guidance repeats the fourteen-day and forty-five-day figures for the seller and the thirty-day figure for the buyer, and adds the reminder to pay the fee specified in Rule 81 of the CMVR. Note what is not in that table: nothing in Section 50 has a deadline for the registering authority itself. That is the structural reason 39 per cent of people are still waiting. The law tells you when to apply; it does not tell the RTO when to finish.

Why the 30-day buyer deadline is the one that matters most

The seller's 14-day report is a courtesy to the system. The buyer's 30-day Form 30 application is what actually moves the record. If the seller never files Form 29, you can still apply in Form 30, but you will need the seller's cooperation for the Form 29 copy, and if the seller disappears you are in the situation Chapter 16 is written for.

So the practical rule of this entire playbook is simple. Do not think of the purchase as complete when you pay. Think of it as complete when you are holding either a new RC with your name on it, or a stamped acknowledgement from the RTO that your transfer application has been received. Everything in between is exposure.

What "transfer" does not fix

Three things survive the transfer and need separate attention, and each gets a chapter later.

- Insurance. The policy is deemed transferred by section 157, but the insurer's record is not, and own-damage cover behaves differently from third-party cover. See Chapter 11.
- Hypothecation. If the RC shows a financier, the charge has to be terminated in the record before or alongside the transfer. See Chapter 10.
- Address and state. If the vehicle is being kept in another state, the 12-month clock under section 47 starts running, and the NOC and road tax questions arrive. See Chapter 12.

CHAPTER 3

The nine free checks, before money changes hands

Everything in this chapter is free, official, and takes about forty minutes in total. Do all nine before you negotiate a price, not after. A seller who resists any of them has told you something more valuable than any inspection.

Keep three things in front of you: the registration number, the chassis number (last five digits are enough for most portals) and the engine number. Ask for a photo of the RC and the insurance certificate on WhatsApp before you travel to see the vehicle. If the seller will not send a photo of the RC, stop.

Check 1: the RC record on VAHAN or mParivahan

Go to the Parivahan Sewa portal or the mParivahan app and pull the vehicle's registration details. You are looking for six things.

- The registered owner's name. Does it match the person selling? If not, ask who the seller is in relation to the owner, and get it in writing.
- The registration date. This tells you the vehicle's age, which decides PUC validity, fitness obligations and whether a city's age restriction applies.
- The fuel type and the Bharat Stage. This decides the PUC validity period and, in Delhi-NCR, whether the vehicle may be used at all.
- Hypothecation status. If a financier's name appears, there is or was a loan. A closed loan with an unremoved charge looks identical here, which is why Check 3 exists.
- The RC status. Look for anything other than "Active": suspended, cancelled, or a blacklist entry.
- The vehicle class and body type. A vehicle registered as a transport vehicle carries a completely different compliance load.

Check 2: the insurance record

The insurance certificate the seller shows you and the insurance record in the system are two different things. Verify the policy number, the insurer, the validity dates and the Insured Declared Value against the record. A policy that expired three months ago is not a small problem: driving uninsured is now penalised at three times the base premium or Rs 5,000, whichever is higher, for a first contravention, and five times the base premium or Rs 10,000 for a subsequent one, with no jail term, under the Jan Vishwas (Amendment of Provisions) Act, 2026, in force for the Motor Vehicles Act from 15 August 2026.

Also check whether the policy is third-party only or a package policy. This changes what you are actually buying. A third-party-only policy transfers to you cleanly by operation of section 157; a package policy's own-damage section needs the insurer's agreement, which is Chapter 11.

Check 3: hypothecation, from the lender's side

The single most expensive fraud in the used market is a vehicle sold with a live loan. Bengaluru police described the pattern in October 2026: fraudsters take over a financed vehicle from an owner who is struggling with EMIs, promise to clear the loan, then sell or pledge the vehicle to a buyer with a forged bank NOC, or a counterfeit RC with the financier's name removed. The buyer pays in full and later discovers the finance company has a claim.

So do not accept a NOC at face value. Call the lender's branch or customer care, quote the loan account number from the NOC, and ask them to confirm in writing (email or SMS) that the loan is closed and the charge is released. If the NOC has no loan account number on it, that is itself a red flag. A genuine NOC identifies the vehicle by registration number, chassis number and engine number, and identifies the loan account.

Check 4: the PUC certificate

Under Rule 115(7) of the CMVR, after one year from first registration every vehicle must carry a valid Pollution Under Control certificate. The validity is six months, extended to twelve months for vehicles manufactured to BS-IV or BS-VI norms, as confirmed by the Ministry of Road Transport and Highways in its 2021 press note on the standardised PUCC form. PUC data is linked to VAHAN under G.S.R. 527(E) dated 6 June 2018, so the certificate can be checked rather than merely looked at.

A missing or expired PUC is not just a fine risk. Section 190(2) carries a penalty of up to Rs 10,000 and disqualification for three months, and the Supreme Court in State of Madhya Pradesh v Centre for Environment Protection Research and Development (28 August 2020) held that non-production of a PUC entails suspension of the certificate of registration. A vehicle whose RC is suspended cannot be transferred.

Check 5: pending challans

Check e-challans against the registration number on the Parivahan e-challan service. Unpaid challans can block transfer at the counter, and they follow the vehicle in practice even though they were incurred by the previous owner. Get the list, agree in writing who pays, and clear them before the transfer application, not after.

Check 6: whether the vehicle is reported stolen

There is no single free national stolen-vehicle search that covers every state, but there are three things you can do. Check the VAHAN record for any adverse status. Check your state police's stolen vehicle list where one is published. And ask for the original RC, not a photocopy: a stolen vehicle rarely comes with an original RC, and a duplicate RC obtained by a fraudster usually has a recent issue date that does not match the vehicle's age. Note also that Parivahan states that issue of an NOC is subject to clearance from the NCRB in some states, which is a sign of how seriously the chain is treated.

Check 7: the seller's identity and the name on the RC

Match the Aadhaar or PAN the seller shows you against the name printed on the RC. Ask for the PAN as well: Parivahan's document list for transfer includes the PAN card of both seller and buyer, or Form 60 and 61 where applicable, and several states require PAN for four-wheelers. If the seller is not the registered owner, you need a properly executed power of attorney, and Chapter 15 explains what that document must contain to survive scrutiny.

Check 8: the vehicle's age against city rules

If the vehicle will be kept in Delhi or the National Capital Region, check its fuel type and Bharat Stage against the current position in Chapter 14 before you pay anything. Delhi transport officials have confirmed that once a vehicle is classified as an End-of-Life Vehicle in the system, pollution certificates cannot be generated and re-registration or transfer-related services remain blocked. You cannot fix that later with paperwork.

Check 9: the paper chain, in order

Ask for the documents as a set and check that the chain is continuous: original RC, valid insurance, valid PUC, the seller's ID and PAN, the loan NOC if any, and for an out-of-state vehicle, the Form 28 NOC. If the vehicle has had three owners, you should be able to see the transfer entries in the RC itself. A registration certificate that shows a single owner for a fifteen-year-old vehicle with three previous sales is either unusual or untrue.

> **THE 40-MINUTE SEQUENCE**
> Do them in this order: VAHAN RC record, insurance record, hypothecation with the lender, PUC, challans, stolen check, ID match, city age rules, paper chain. Do them before you see the vehicle, so that the visit is about the machine and not about the paperwork. If any of the nine fails and cannot be explained, walk away. There will be another vehicle.

CHAPTER 4

Reading the documents like an investigator

Fraud in this market is rarely a stolen vehicle with a filed-off chassis number. It is a perfectly normal vehicle with one document that has been edited. This chapter teaches you what each document is supposed to contain, and where forgeries show.

The registration certificate

The RC is the vehicle's identity in law. Read it for consistency, not just for the owner's name.

- Registration number, chassis number and engine number must match the vehicle physically. Check the chassis number yourself, on the vehicle, not on the paper. On most cars it is stamped on the chassis rail visible under the bonnet or in the door frame; on two-wheelers it is on the steering head tube. Compare digit by digit, including the last five.
- The owner's name and address. An address in a different state from where the vehicle is being sold is a question, not a problem, but ask it.
- The hypothecation entry. If the RC is a smart card and the financier's name has been physically removed or the card shows signs of tampering around that field, stop.
- The registration date and the RC issue date. A duplicate RC issued three weeks ago on a twelve-year-old vehicle means the original was lost, or seized, or never existed.
- The transfer entries on the reverse or in the record. Every previous transfer should appear.

The insurance certificate

Check the registration number, chassis number, engine number, the policy period, the IDV, the type of cover, and the name of the insured. A certificate where the insured's name is a different person from the RC holder is normal in one case only: the policy was never transferred after a previous sale. That is a warning about how the previous owner behaved, and it tells you the policy will need a fresh transfer application.

The most common forgery is a digitally altered date. Insurers issue certificates with a specific layout and font; an edited expiry date usually shows a mismatch in font weight, spacing, or the position of the watermark. Do not try to spot it by eye alone: verify the policy number against the insurer's own record, which is free and takes a phone call.

The NOC and the hypothecation termination papers

Two documents get confused constantly, and the confusion is exploited.

- Form 28 is the No Objection Certificate from the registering authority where the vehicle is currently registered, issued under section 48, applied for in Form 28 and granted under Rule 58. You need it when the vehicle is moving to another state, not for a same-state transfer.
- Form 35 is the notice of termination of a hire-purchase, lease or hypothecation agreement. Parivahan's own list for hypothecation termination is Form 35 duly filled, plus a certificate from the financier confirming full dues have been received, plus the original RC, insurance and PUC.

A bank NOC is not Form 35. A bank NOC plus Form 35 plus the actual removal of the entry in VAHAN is what you need. A seller who hands you a letter on bank letterhead and says "the RC will update automatically" is either misinformed or hoping you are.

The seller's identity documents

Aadhaar and PAN should be checked against the RC name, not against the name the seller gives verbally. Take photographs of the documents with the seller's consent, and note the mobile number linked to Aadhaar, because several RTO processes send an OTP to the Aadhaar-linked number of the applicant, not to whatever number is written on the form. If the seller cannot receive that OTP, the application will stall at the counter and you will be the one standing there.

The agreement to sell: eight clauses that protect you

There is no statutory form for an agreement to sell a vehicle. That is precisely why you should write one, on stamp paper or plain paper with signatures and witnesses, and make it specific. These eight clauses cover almost every dispute that follows a used vehicle sale.

1. Identification of the vehicle by registration number, make, model, chassis number and engine number, and the odometer reading on the date of delivery.
2. The full sale consideration, the mode of payment, and the date and time of each payment.
3. A declaration by the seller that the vehicle is free from all encumbrances, that no loan or hypothecation subsists, and that the vehicle is not subject to any court order, seizure or superdari.
4. A declaration that the seller will file Form 29 within 14 days and will cooperate with Form 30, party peshi and any RTO query, and will provide documents on demand.
5. A specific date by which the RC transfer will be applied for, and a consequence if the seller fails to cooperate: for example, a retention of part of the price until the acknowledgement is issued.
6. An undertaking that all challans up to the date of delivery are the seller's responsibility, with the amount to be deducted if unpaid.
7. Delivery of the specified documents on the specified date: original RC, insurance certificate, PUC, NOC if applicable, Form 35 if applicable, spare keys, and the service record if any.
8. A statement that the vehicle is sold as inspected, with the buyer's inspection acknowledged, and the specific known defects disclosed in writing.

Keep two signed copies, one with each party, and keep the payment proof. If the transfer later stalls, that document is what turns a dispute into a claim.

> **THE PHOTOGRAPH HABIT**
> Photograph the vehicle with the seller standing next to it, holding the RC, on the day of delivery, with the number plate visible. Photograph the odometer. Photograph the signed agreement and the payment confirmation. This takes ninety seconds and is the cheapest insurance in this entire process.

CHAPTER 5

The inspection: forty points on a car

You are not looking for a perfect car. You are looking for the specific things that cost money, and for the specific lies that a seller tells. Bring a torch, a rag, a magnet, and forty minutes. Do the inspection in daylight, on level ground, with the engine cold when you arrive.

Before you touch the car

Ask the seller not to start the engine before you arrive. A cold start tells you things a warm engine hides: blue smoke, a rattle that disappears when warm, a slow starter. Park on level ground, switch everything off, and open the bonnet.

Body, paint and accident repair

1. Walk around the car at an angle in sunlight. Repainted panels show a different texture and a slightly different shade. Look along each panel line, not straight at it.
2. Run a magnet wrapped in a cloth along the doors, quarter panels, roof and bonnet. Body filler does not attract a magnet. Any spot where the magnet will not stick is a repaired area, and a large one means a large repair.
3. Check the gaps between panels: bonnet to fender, door to door, boot to quarter panel. Uneven gaps mean the structure moved.
4. Look at the bolts holding the bonnet, doors and boot. Factory bolts have paint over them and no tool marks. Spanner marks and missing paint mean the panel was removed.
5. Check the paint inside the door shut faces and under the rubber beading. A repaint usually stops at the edge, and the original colour shows inside.
6. Look for overspray on the rubber seals, the wheel arches, the glass edges and the plastic trims.
7. Check the windscreen and side glass for the manufacturer's mark and date code. A single pane of a different brand or year means it was replaced, which means an impact.
8. Open the boot, lift the carpet, and look at the floor pan and the spare wheel well for creases, fresh seam sealer, or a weld line. This is where rear-end repairs hide.
9. Check the radiator support and the front cross member for straightening marks and fresh welds.

None of these on their own is a rejection. A replaced bumper is normal in Indian city traffic. A replaced quarter panel with fresh seam sealer in the boot floor is a different conversation, and it should reduce the price substantially, or end the deal.

Flood and water damage

- Smell the interior. A musty, damp or perfumed smell in a car that has been standing is a question, not an answer.
- Lift the floor mats and press the carpet. Damp, stiffness, or a tide line of dirt at the edge of the carpet is the classic signature.
- Look under the dashboard and behind the pedals for mud, silt or rust on the brackets.
- Check the seat rails and the bolts holding the seats for rust.

- Pull the seat belts all the way out. A belt that is stiff, discoloured, or has silt in the retractor has been under water.
- Check the fuse box, the relays under the bonnet, and the connectors for corrosion or green deposits.
- Look at the headlight and tail-light housings for condensation and mud inside the lens.

Engine and mechanicals

1. Cold start. Listen for a rattle in the first three seconds, watch the exhaust for blue smoke (oil) or white smoke that does not clear (coolant), and note how long the starter cranks.
2. Open the oil filler cap. A milky, mayonnaise-like residue means coolant is mixing with oil.
3. Check the engine oil on the dipstick: level, colour, and whether it smells of petrol.
4. Check the coolant: level, colour, and whether there is oil film in the expansion tank.
5. Look for oil seepage at the head gasket line, the sump, and around the timing cover.
6. Check the brake fluid level and colour, and the condition of the brake lines for cracking.
7. Look at the drive belt for glazing and cracks.
8. Check the battery: date stamp, terminal corrosion, and whether the hold-down is present.
9. With the engine running, listen for a whine from the gearbox in neutral, and for a rattle from the timing chain area.

Transmission, suspension and steering

- On a test drive, accelerate gently through the gears and note any slip, flare, or hard shift. In an automatic, note any thud on engagement.
- Drive over a speed breaker slowly and listen for a clunk from the suspension mounts and the anti-roll bar links.
- On a straight, empty stretch, release the steering briefly and check for pull to one side.
- Turn the wheel fully at standstill and listen for a clicking from the CV joints.
- Push down hard on each corner of the car and release. More than one bounce means worn shock absorbers.
- Check the tyre manufacture date (a four-digit code: week and year) on all four, plus the spare. Four tyres of different brands and dates tell you the maintenance story.
- Check for uneven tyre wear on the inner or outer edge, which points to alignment or suspension damage.

Electricals and interior

- Test every switch: all four power windows, the mirrors, the horn, the wipers on every speed, the washers, the indicators, the hazard lights, the headlights on low and high beam, the fog lamps, the interior lights.
- Test the air conditioning from a cold start. It should reach cold within two minutes. Listen for the compressor cycling and check for a musty smell from the vents.

- Check the infotainment, the reverse camera, the parking sensors, the central locking from both keys, and the keyless entry.
- Check the instrument cluster for warning lights that stay on after the engine starts: engine, ABS, airbag, EPS.
- Check the odometer against the service record, the insurance claims history and the tyre wear. A car showing 40,000 km with worn-out tyres and a sagging driver's seat is not a 40,000 km car.

Underneath, and the numbers

1. Look under the car with the torch: the floor pan, the sills, the subframe, the exhaust, and the fuel and brake lines.
2. Check the chassis number stamping for grinding marks, welding, or a plate riveted over the original.
3. Check the engine number stamping in the same way.
4. Check the VIN plate on the firewall against the RC and against the chassis stamping. All three must agree.
5. Check the rivets on the number plate. Fresh rivets and a new plate on an old car are worth a question.
6. Check the wheel arch liners and the underbody coating for fresh underseal, which is sometimes used to hide repair.

Write the findings down as you go, in the worksheet at the end of this book. A score you wrote while standing next to the car is worth more than a memory you reconstruct in the seller's drawing room.

CHAPTER 6

The inspection: twenty points on a two-wheeler

A used two-wheeler is the most common first vehicle purchase in India, and the most commonly misrepresented. The checks are faster than a car's, but the fraud patterns are the same, and one of them is specific to bikes: a financed vehicle sold with the hypothecation still live.

Papers first

- RC, insurance and PUC in original, with the chassis and engine numbers matching the frame and the engine casing.
- Hypothecation entry on the RC checked against the lender, exactly as in Check 3 of Chapter 3.
- The frame number on the steering head tube compared digit by digit with the RC. Look for grinding or a welded patch.
- The engine number on the crankcase compared with the RC.
- The number plate rivets and the plate's condition, compared with the age of the vehicle.

Frame, forks and wheels

1. Stand behind the bike and sight along the rear wheel to the front. The wheels should be in one line. A visible offset means a bent frame or a twisted fork.
2. Check both fork tubes for oil film at the seals, and for pitting on the chrome.
3. Look for a crease or a repaint on the frame downtube near the steering head, which is where frontal impact damage shows.
4. Spin each wheel and watch the rim for a wobble, and listen for a grind from the bearings.
5. Check the spokes or the alloy for cracks, and the tyre date codes on both tyres.
6. Check the swingarm pivot for play by lifting the rear and rocking it sideways.

Engine and exhaust

- Cold start, and listen for a timing chain rattle that does not go away.
- Check for blue smoke from the exhaust after a hard rev, which points to worn rings or valve seals.
- Check the oil level and colour, and look for leaks at the head and the crankcase joint.
- Check the exhaust for a fresh weld, a patch, or a non-standard unit, which matters for the PUC test.
- Check the chain or belt for slack and for hooked teeth on the sprocket.
- Check the battery date and the terminal condition.

Ride it

- Ride at low speed in a straight line with both hands light on the bars. A pull to one side means alignment or frame damage.
- Brake hard from about 40 km/h on an empty stretch. Note any judder, any pull, and whether the lever feels spongy.
- Accelerate through the gears and check for a slip, a false neutral, or a jump out of gear.
- Ride over a rough patch and listen for a knock from the suspension and the steering bearings.

> **THE BIKE-SPECIFIC TRAP**
> Two-wheeler loans are small, fast and frequently informal. A finance company will pursue a Rs 60,000 outstanding on a bike it can trace, and the recovery agent does not care that you paid the seller in full. On a two-wheeler, the hypothecation check is not one of twenty checks. It is the check.

CHAPTER 7

What to pay, and how to say it

There is no published blue book for used vehicles in India. That absence is why buyers overpay, and why sellers open with a number they invented. You can price a used vehicle properly with three anchors and fifteen minutes of work.

Anchor one: the new price, today

Get the current ex-showroom price of the same model and variant from the manufacturer's website, not from the seller. Add the road tax and registration for your state to reach an on-road figure. This is your ceiling reference, and it is the number the seller will try to avoid discussing.

Anchor two: depreciation, by year

Indian used vehicle pricing clusters around a depreciation curve rather than a formula, but the curve is consistent enough to use as a check on any quoted price. A vehicle typically loses a large share of its value in the first year, and the annual decline flattens as it ages. If a three-year-old car is being offered at 85 per cent of today's on-road price, one of two things is true: the price is wrong, or the market for that model is unusually tight. Ask which.

Anchor three: what the same vehicle is actually selling for

Look at ten live listings for the same model, variant, year and city on two or three platforms, and note the asking prices, not the sold prices. Asking prices sit above transaction prices. Then look at what the organised platforms are offering to buy the same vehicle for: that buy-side quote is the wholesale number, and the retail number sits between the wholesale quote and the private asking prices. If the seller's number is above the highest retail asking price you found, you have your answer.

> **THE INSURANCE IDV AS A SANITY CHECK**
> The Insured Declared Value on the current policy is the insurer's own estimate of the vehicle's market value, set at the start of the policy year. It is not a transaction price, but a seller asking 40 per cent above the current IDV needs a reason. This one check has ended more inflated negotiations than any other.

The costs that are not the price

Budget for these separately, and put them on the table before you agree a number. Buyers who discover them afterwards feel cheated even when nothing dishonest happened.

- Transfer of ownership fee under Rule 81. Andhra Pradesh's published schedule is a useful worked example: transfer of ownership is half of the registration fee for that class, so a motorcycle at Rs 300 becomes Rs 150, and a non-transport light motor vehicle at Rs 600 becomes Rs 300. Your state's schedule will differ, and the payment screen on Parivahan shows the exact figure before you pay.
- Smart card or RC printing charges, where the state levies them separately.
- Hypothecation termination, if the charge is still live: the central statutory base under Rule 81 entry 10 is Rs 100, plus the smart card and postal charges the state adds.
- Insurance transfer fee and any pro-rata recovery of no-claim bonus, as described in Chapter 11.

- NOC and re-registration, if the vehicle is moving states: Form 28, then Form 27 with the new state's road tax.
- The honest cost of putting the vehicle right: tyres, a service, a battery, wiper blades, a PUC. On a five-year-old car this is routinely Rs 15,000 to Rs 40,000, and it is not the seller's problem unless you make it one.

The negotiation, in four sentences

Do not negotiate on the asking price. Negotiate on the defects you found and the costs you will incur, item by item, with the worksheet in front of you. Say the number once, with the reason attached, and then stop talking. A seller who will not move on price will often move on the transfer timeline, the challans, or the delivery of a fresh service, and those are worth money too.

One more thing worth saying out loud in the negotiation: the price is contingent on the documents checking out. Put that in the agreement. It converts a dispute into a condition, and conditions are much easier to enforce than arguments.

CHAPTER 8

The payment sequence: five gates

Most used vehicle fraud is not a forged document. It is a payment made at the wrong moment. This chapter gives you a sequence in which every payment is released only after a specific, verifiable event. It costs you nothing and it removes most of the risk.

Gate 1: a token amount, after the nine checks

Once the nine free checks in Chapter 3 pass, and only then, pay a small token amount, typically Rs 5,000 to Rs 25,000 depending on the vehicle's value. Write on the receipt what the token is for, which vehicle it is against, and that it is refundable if the documents do not verify. Get the seller's signature and a copy of their ID with the receipt.

Do not pay a token before the VAHAN record and the hypothecation check. The token is what makes a seller send documents, and a seller who will not send documents for a token was never going to complete the transfer.

Gate 2: the physical inspection, with the vehicle present

Pay nothing more until you have seen the vehicle, matched the chassis and engine numbers to the RC, and completed the inspection in Chapters 5 and 6. The inspection is also where you confirm that the vehicle in the photographs is the vehicle in the RC.

Gate 3: the document handover, and the agreement

The second payment is released against the physical handover of the original documents and the signing of the agreement to sell. Count them: original RC, insurance certificate, PUC, NOC if applicable, Form 35 and the financier's clearance if applicable, the seller's ID and PAN copies, and the keys. Note in the agreement exactly which documents were handed over on that date.

Gate 4: delivery, against Form 29

This is the gate most people skip, and it is the one that matters. The bulk of the price should be released at delivery, and at delivery the seller should sign Form 29 in front of you, in duplicate, with the copy that goes to you. Parivahan's document list treats Form 29 as the seller's notice of transfer; holding it, signed, is what lets you proceed even if the seller becomes difficult later.

If the seller cannot or will not sign Form 29 at delivery, the correct response is to hold back a meaningful part of the price until they do. Say this before the negotiation ends, not at the doorstep.

Gate 5: the balance, against the RTO acknowledgement

Hold the final portion until you have either a stamped acknowledgement of your Form 30 application or the new RC. This is the only gate that most buyers refuse to implement, because it feels distrustful. It is not distrust; it is the same principle as an escrow, and it is standard practice in every organised sale. A seller with nothing to hide will accept it, because the money is guaranteed and the only condition is a government receipt.

If the seller insists on full payment at delivery, that is a commercial term you can accept, but price it. Full payment at delivery with no holdback is a discount-worthy risk, and you should say so.

How to pay

- Pay by bank transfer or UPI to the account of the person named on the RC, not to a friend, a brother, or a firm. The payment trail must match the document trail, because it is the evidence you will rely on if anything goes wrong.
- Write the vehicle's registration number in the payment reference or remarks field.
- Never pay in cash for a vehicle above a token amount. Cash leaves no trail and creates a tax question for both sides.
- Keep the screenshots, the bank statement line and the receipt, all three, in one folder.

One caution on cash: a large cash payment for a motor vehicle can attract scrutiny under the income tax law's cash transaction limits, and it deprives you of the only evidence that is worth anything in a dispute. There is no upside.

> **IF THE SELLER WANTS THE MONEY BEFORE THE RC IS TRANSFERRED**
> Say this: "I will pay in full, and I will hold Rs X until the RTO acknowledges the application. That protects both of us, because if I drive away and never file, you are still the owner in law." That last sentence is true, it is the point of Chapter 2, and it is usually the moment a hesitant seller agrees.

CHAPTER 9

Executing the RC transfer, step by step

This is the part everyone outsources, and it is the part where the money leaks. You can do it yourself in two sittings. Here is the whole sequence, with the documents the portal itself asks for.

What you will submit

Parivahan's own document list for a normal same-state transfer, and the VAHAN citizen-services instructions, both describe the same set. Have all of it scanned and printed before you start.

- Form 29, notice of transfer of ownership, in duplicate, with one copy attested, signed by the seller.
- Form 30, application for intimation and transfer of ownership, in duplicate, with Part I completed by the seller and Part II by you. Where the vehicle is or was under hire-purchase, lease or hypothecation, the financier's consent block must be signed.
- The original certificate of registration.
- A valid certificate of insurance, attested copy.
- A valid Pollution Under Control certificate, attested copy.
- Attested copy of your address proof, and your photograph where the state asks for it.
- PAN card of seller and buyer, or Form 60 and 61 where applicable.
- Chassis and engine pencil prints, where the state requires them.
- Proof of date of birth of the buyer, where required.
- The prescribed fee under Rule 81, paid on the portal.

Two things on that list catch people out. The first is attestation: a photocopy attested by an MLA, a municipal councillor, a gazetted officer or a notary, as VAHAN's instructions describe it. The second is the pencil print of the chassis and engine numbers, which several states still demand even when the application is online.

The online application

1. Go to the Parivahan Sewa portal and choose Vehicle Related Services for your state, or use the mParivahan app.
2. Enter the registration number and the last five digits of the chassis number, and authenticate with the OTP sent to the mobile number linked to the record.
3. Choose the transfer of ownership service from the miscellaneous services menu.
4. Complete the application, check the fee breakup shown on screen, and pay. The portal generates a receipt; download and save it, because it is your proof of filing.
5. Upload the documents the receipt asks for, or book the appointment for the physical step, depending on your state's workflow.
6. Print the receipt and the filled forms, and carry the originals to the RTO on the appointed date.

The physical step: party peshi

In most states the transfer still requires the buyer, and often the seller, to appear at the RTO for verification, with the vehicle present for inspection of the chassis and engine numbers. This is the step 61.5 per cent of surveyed citizens did not know about until they arrived. Ask your RTO, or check the state transport department's page, for whether both parties must attend, whether biometric authentication is used, and whether the vehicle must be produced.

In Andhra Pradesh, the EVOI study found that buyer, seller and lender all authenticate biometrically, and that transfers complete in seven to ten days. In Uttar Pradesh, the same study found more than thirty days. The difference is not the law. It is the office.

Tracking it, and what "pending" means

Check the application status on the portal against the receipt number, and check the RC record itself: the moment the transfer is entered, the registered owner's name changes in VAHAN. Until then, the record still shows the seller, and you are in the exposure described in Chapter 2.

If the status has not moved in three weeks, do not call an agent. Do three things, in this order: visit the RTO counter with the receipt and ask for the specific missing item in writing; if the file is marked deficient, supply the document the same week; and if there is no answer, use the state transport department's grievance channel, and then the central CPGRAMS portal. Chapter 16 gives the full escalation ladder and the wording.

> **THE ONE NUMBER TO REMEMBER**
> Rule 81 fees are set centrally but implemented by states, and states add their own charges. Do not budget from a blog. Open the payment screen on Parivahan for your vehicle class, read the breakup, and screenshot it. That screenshot is also your defence if a counter asks for more.

CHAPTER 10

Hypothecation: the charge that outlives the loan

Closing a vehicle loan and removing the charge from the RC are two separate events, and confusing them is the most expensive mistake in this market. This chapter explains the paper route, the new automated route, and how to tell whether the charge is actually gone.

What hypothecation is, in one paragraph

When a lender finances a vehicle, it registers a charge on the vehicle in the RC. That entry is the hypothecation. It tells every future buyer, every insurer and every RTO that somebody other than the registered owner has a financial interest in the machine. Section 2(30) of the Motor Vehicles Act even treats the person in possession under a hypothecation agreement as the owner for the purposes of the Act, which is why the entry changes who is legally responsible.

The old route: Form 35

Parivahan's own instructions for hypothecation termination list three things: the original RC, Form 35 duly filled for deletion of hypothecation, and a certificate from the financier confirming that full dues have been received. In practice states add the insurance certificate, the PUC, identity and address proof, and PAN or Form 60. The central statutory base fee under Rule 81 entry 10 is Rs 100, before the smart card and postal charges your state adds.

The failure mode here is well documented. The bank's ledger closes when you pay the last EMI. The RC keeps the lender's name until the termination application is approved. A loan closure letter proves you repaid. It does not prove the charge was released, and a buyer who accepts a closure letter as proof is buying an unresolved charge.

The new route: automated termination through ULI

From 1 March 2026, the Ministry of Road Transport and Highways rolled out an automated hypothecation termination system built on the Reserve Bank of India's Unified Lending Interface. When a borrower clears the loan, the lender transmits the closure to VAHAN through ULI, the entry is removed from the RC without a customer application, and the owner receives an SMS from VAHAN confirming the removal.

The rollout began with one nationalised bank and five non-banking finance companies. State Bank of India and five NBFCs, including Cholamandalam, Shriram Finance and Sundaram Finance, were the first to implement it, and more lenders are being onboarded in phases. The Reserve Bank Innovation Hub's documentation for the MoRTH service describes two operations available to lenders: hypothecation fetch, which retrieves current and historical lien status for a vehicle, and hypothecation termination, which submits the release on loan closure.

What this means for you as a buyer is precise and practical. If the seller's lender is on the automated system, the removal may already have happened and the seller may not know it. If the lender is not yet integrated, the manual Form 35 route is still the only route, and you should not accept a promise that "it will update automatically". Ask which lender it is, and check the RC record yourself.

How to verify that the charge is really gone

1. Pull the RC record on VAHAN or mParivahan and look at the hypothecation field. It must be blank, not "N/A" and not a financier's name.
2. Ask for the VAHAN SMS confirming removal, if the automated route was used.
3. If Form 35 was used, ask for the stamped acknowledgement and check the RC again after the stated processing time.
4. Call the lender and ask for written confirmation that no charge subsists, quoting the loan account number.
5. Look at the physical RC card, if it has been reissued, for a fresh issue date and no financier field.

Do all five on a vehicle that ever had a loan, and do them before the bulk payment. A live charge discovered at the transfer counter is not a paperwork problem; it is a vehicle you do not legally control.

THE FORGED NOC

> Bengaluru police described the pattern in October 2026: a fake bank NOC, or a counterfeit RC with the financier's name removed. A genuine NOC names the vehicle by registration, chassis and engine number, names the loan account, and is signed by an authorised signatory with a branch stamp. If it has none of those, it is a letter, not an NOC.

CHAPTER 11

Insurance: the thirty-day window and the own-damage trap

Insurance on a used vehicle is the area where the law changed most recently and where most online guides are now wrong. The statute says thirty days. IRDAI's own handbook still warns about fourteen. Both matter, and they matter differently.

What section 157 actually does

Section 157(1) of the Motor Vehicles Act provides that where a person in whose favour a certificate of insurance has been issued transfers the ownership of the vehicle together with the policy, the certificate and the policy are deemed to have been transferred in favour of the buyer with effect from the date of transfer. An explanation added later clarifies that this deemed transfer includes the rights and liabilities under the policy.

Section 157(2) places a duty on the buyer: apply to the insurer, in the prescribed form, within the stated period, for the necessary changes to be recorded. That period was fourteen days. The Jan Vishwas (Amendment of Provisions) Act, 2026 substituted thirty days, with effect from 15 August 2026, as the amendment notes to the bare Act confirm.

So the correct statement of the law today is this: the cover is deemed transferred from the date of transfer, and you have thirty days to get the insurer to record it.

Why IRDAI's handbook still says fourteen

IRDAI's Motor Insurance Handbook, which is the regulator's own consumer guidance, says that transfer of ownership in comprehensive or package policies has to be recorded within fourteen days from the date of transfer, failing which no claim will be payable for own damage to the vehicle. That guidance reflects the India Motor Tariff's General Regulation 17, which also provides that the liability-only portion is deemed transferred automatically, while the own-damage section is transferred only on a specific request from the buyer with the seller's consent.

The practical reading, and the one this book recommends, is to treat fourteen days as your working deadline even though the statute now allows thirty. There is no benefit to using the extra sixteen days, and there is a real risk in relying on them while a claim is being assessed.

Third-party cover follows the vehicle. Own-damage cover is a contract.

The Supreme Court in Complete Insulations (P) Ltd v New India Assurance Co Ltd (1995) read the deeming fiction in section 157 as confined to third-party risks, holding that a buyer of a comprehensively insured vehicle whose policy had not been endorsed got nothing for his own damage after a total loss, because own-damage cover is a contract the insurer must agree with the new owner. The tension between that view and later decisions was noticed by the Supreme Court in February 2024, when the question was referred to a larger bench. As of the latest reported position in October 2026, that reference has not been decided.

For a buyer, the conclusion does not depend on how the reference is eventually answered. Get the transfer recorded, and get it recorded in the first fortnight.

The no-claim bonus belongs to the person, not the vehicle

IRDAI's handbook is explicit: the no-claim bonus is given to the insured and not to the insured vehicle. On transfer of the vehicle, the policy can be transferred to the new owner but not the no-claim bonus. The new owner has to pay the difference on account of the no-claim bonus for the balance policy period, and the seller can use that bonus on a new vehicle, provided the insurance has not been transferred to the buyer of the old car.

Two consequences. As a buyer, do not count the seller's no-claim bonus as part of the deal's value; you are very likely paying it back as a pro-rata premium recovery. As a seller, if you are buying a replacement vehicle, decide before you sign anything whether you are transferring the policy or surrendering it and carrying the bonus forward. You cannot do both.

What to actually do, in order

1. On the day of delivery, note the existing policy number, insurer and expiry date.
2. Ask the seller to inform the insurer in writing of the sale, and to consent to the transfer of the own-damage section.
3. Fill the insurer's fresh proposal form in your name, and submit it with the transfer request, the RC copy, the seller's consent and the fee. A nominal fee applies, and IRDAI's guidance describes a fresh proposal form as part of the process.
4. Get written acknowledgement of the request with a date. This is the document that proves you complied within the period.
5. Follow up until the policy schedule is reissued in your name. Check the IDV on the new schedule, because the insurer may reset it.
6. If the policy has lapsed, do not drive the vehicle. Take a fresh policy first. Section 196, as amended in 2026, prices uninsured driving at three times the base premium or Rs 5,000, whichever is higher.

> **THE IDV QUESTION NOBODY ASKS**
> A used vehicle's IDV is set by the insurer at renewal, and it is usually lower than what you paid. That gap is not a scam; it is the difference between a retail transaction price and an insurance valuation. But it does mean that if the vehicle is a total loss in month two, the payout will be based on the IDV, not on your invoice. Ask for the IDV in writing before you complete the purchase, and if the gap is large, decide whether that risk is acceptable.

CHAPTER 12

Moving the vehicle to another state

An inter-state used vehicle purchase is the same transaction with three extra documents and one extra clock. Get the order wrong and you will pay the road tax twice and wait months for a refund that only two states are known to process reliably.

The twelve-month rule

Section 47 of the Motor Vehicles Act says that when a vehicle registered in one state has been kept in another state for a period exceeding twelve months, the owner must apply for the assignment of a new registration mark. Rule 54 of the CMVR requires that application in Form 27, accompanied by a no objection certificate in Form 28 and the appropriate fee, within thirty days from the date of expiry of that twelve-month period. There is a proviso: if the owner intends to keep the vehicle in the state for more than twelve months and declares that intention, the application may be made at any time within the twelve months.

Haryana's transport department states the position in one line on its FAQ: if a vehicle registered in one state is kept in another for more than twelve months, the application for re-assignment must be submitted within thirty days from the date of expiry of that period, and if the vehicle is intended to be kept for more than twelve months, the owner may apply at any time within the twelve months.

The NOC, in order

1. Apply in Form 28 to the registering authority where the vehicle is currently registered, as Rule 58 requires, with a certified copy of the RC, a certified copy of the insurance certificate, and evidence of payment of motor vehicle tax up to date, or a certificate that no tax is due.
2. VAHAN's instructions describe the same set: Form 28 in quadruplicate, an attested copy of the RC, evidence of road tax payment or a no-dues certificate, a valid PUC and a valid insurance certificate. Some states route the NOC through an NCRB clearance.
3. Get the NOC, then apply in Form 27 at the destination RTO with the NOC, the original RC, proof of address in the new state, valid insurance and PUC, and the new state's road tax.
4. Get the new registration mark assigned, then apply to the original state for a pro-rata refund of the tax you paid there.

Do not skip step four. It is the step that everyone abandons, and it is worth real money on a vehicle with several years of life left.

The refund reality

Road tax is a state subject. Tax paid in one state cannot be transferred to another; you pay again in the destination state and claim a refund of the unexpired portion from the original state. The EVOI 2026 study found that only Andhra Pradesh and Telangana run a working refund for vehicles that leave the state. Everywhere else, the refund exists on paper and is pursued at your own cost in time.

Two practical consequences. First, before you buy an out-of-state vehicle, get a written estimate of the destination state's tax from that state's RTO, and add it to your total cost. Second, if the numbers are close, buy in your own state and pay a small premium for it. The refund is not a plan.

The NOC's own clock

An NOC is not valid forever. The Central Motor Vehicles Rules do not fix a single national validity, and state practice commonly treats it as good for six months, so treat six months as your working deadline. Late submission also carries a penalty set by the state fee schedule: Andhra Pradesh's Rule 81 note, for example, specifies an additional Rs 300 per month or part thereof for motorcycles and Rs 500 per month for other vehicles where the NOC is submitted late. Complete the destination registration well inside the window.

> **BH SERIES, BRIEFLY**
> The Bharat series registration mark, introduced by MoRTH in August 2021, is designed for exactly this problem: a vehicle with a BH mark does not need a new registration mark when the owner shifts states. It is available on a voluntary basis to defence personnel and to employees of central and state governments, public sector undertakings and private companies with offices in four or more states or union territories. If you are buying a used BH-series vehicle, that portability is a genuine feature, and it is worth confirming the eligibility of the original allottee.

CHAPTER 13

Selling without carrying the liability

Half of this book is written for buyers. This chapter is for the other half, because the seller's exposure is the same exposure viewed from the other end, and it lasts longer.

The thing you are trying to avoid

Recall the rule from Chapter 2. Until the transfer is entered in the record, you are the owner for the purposes of the Motor Vehicles Act. In Naveen Kumar v Vijay Kumar, the registered owner had sold the car years earlier and was still held liable for compensation after an accident involving that car. If the buyer never transfers, every challan, every accident claim and every enforcement action starts with your name.

The seller's eight-step handover

1. Verify the buyer's identity, and take a copy of their Aadhaar and PAN. You are handing over an asset worth lakhs to a stranger.
2. Sign Form 29 in duplicate at delivery, keep the duplicate with the registering authority's endorsement, and give the buyer their copy. Do not leave the form blank for the buyer to fill later.
3. Complete Part I of Form 30 with the buyer, and keep a signed copy of the full agreement to sell.
4. File your Form 29 report within fourteen days if the vehicle is registered in the same state, or forward the NOC within forty-five days if it is not.
5. Get proof of filing: the acknowledgement, the receipt, or the portal submission confirmation. Photograph it.
6. Keep the buyer's written undertaking that they will apply in Form 30 within thirty days, and the date they promised.
7. Inform your insurer in writing of the sale, and decide whether you are transferring the policy or retaining the no-claim bonus for your next vehicle. If you are retaining the bonus, say so in writing before the transfer.

8 Check the VAHAN record yourself at 30 days and again at 60 days. If the name has not changed, follow up in writing. This is the single habit that separates a clean sale from a two-year liability.

If the buyer will not transfer

This happens more than people admit, usually because the buyer wants to avoid the fee or the RTO visit, or because they are reselling. Your options, in order of cost: a written notice to the buyer with a deadline; a complaint to the registering authority asking it to note the sale and act under section 50; and where the vehicle is being misused, a police complaint recording that you are no longer in possession, with the agreement to sell attached.

The 22 states with deemed ownership provisions in their rules, described in the EVOI 2026 report, may give you an additional route, but the report itself notes that adoption on the ground remains limited. Do not count on it.

What to hand over, and what to keep

Document	Hand to buyer	Keep a copy
Original RC	Yes, it is required for Form 30	Photocopy, plus a photo of both sides
Insurance certificate	Yes	Photocopy, and the policy schedule
PUC certificate	Yes	Photocopy
Form 29 (duplicate, endorsed)	Buyer's copy	Your copy with the RTO endorsement
Form 30, Part I signed	Yes	Signed copy
Form 35 and financier clearance	Yes, if the vehicle had a loan	Copies
Form 28 NOC	Yes, for an out-of-state sale	Copy
Agreement to sell	One signed copy	One signed copy
Spare keys, service record, manuals	Yes	Not needed
Payment proof and bank statement line	Not needed	Yes, permanently

THE ONE LINE THAT SAVES SELLERS

Write this into the agreement: "The buyer shall apply for transfer of ownership in Form 30 within thirty days of delivery. Until the transfer is recorded, the seller's liability is limited to the extent provided by law, and the buyer indemnifies the seller against all challans, taxes and claims arising after the date of delivery." An indemnity clause does not replace the transfer, but it gives you a claim when the transfer does not happen.

CHAPTER 14

Delhi-NCR and the age rules that void a purchase

In most of India, a vehicle's age affects its price and its PUC validity. In Delhi and the National Capital Region, it can decide whether the vehicle can be used at all. If you are buying anything older than eight years and it will be kept in NCR, read this chapter before you pay.

Where the rule comes from

The National Green Tribunal, in orders dated 26 November 2014 and 7 April 2015 in the Vardhaman Kaushik matter, imposed a ban on petrol vehicles more than fifteen years old and diesel vehicles more than ten years old plying in Delhi, and directed registering authorities not to register such vehicles in NCR Delhi. The Supreme Court approved that position in the M.C. Mehta case on 29 October 2018, directing the transport departments of NCR to ensure that diesel vehicles over ten years and petrol vehicles over fifteen years are not allowed to ply.

What changed in 2025, and what it means

The position moved twice in 2025. On 12 August 2025 the Supreme Court directed that no coercive action be taken against owners solely because their diesel vehicles were more than ten years old or their petrol vehicles more than fifteen years old, while it considered a review plea, and CAQM kept its Direction No. 89 in abeyance on 17 October 2025. Then, on 17 December 2025, the Court modified that order: enforcement action was permitted against overage vehicles meeting BS-III or lower emission standards, while the protection from coercive action on the basis of age alone continued to apply to BS-IV and newer vehicles.

The distinction matters because the December order did not simply reinstate a blanket age-based restriction. It separated vehicles by Bharat Stage. But it was an interim order, the matter remains before the Court, and Delhi's transport authorities continue to operate systems that cap diesel registrations at ten years, so a vehicle can be judicially protected and administratively marked as expired at the same time.

What this does to a purchase, concretely

Delhi transport officials, speaking to the Hindustan Times in May 2026, described the mechanism plainly: once a vehicle crosses the prescribed age limit, several services become automatically restricted in the system. Pollution certificates cannot be generated, and re-registration or transfer-related services remain blocked. In February 2026, the transport department's public notice stated that vehicles meeting the age criteria and BS-III or below would be impounded and scrapped without further notice, and advised owners to obtain an NOC and transfer such vehicles outside Delhi and NCR.

The Delhi End-of-Life Vehicle Guidelines, 2024, set out the enforcement sequence: an ELV parked in a public place or plying on the road is impounded; a first impoundment may be released on an undertaking that the vehicle will be removed from Delhi or kept in private parking, and must not be parked in public or shared residential parking; a second impoundment, or a diesel transport vehicle over ten years old, is not released and is scrapped, with the scrap value paid to the owner within fifteen days of acceptance by the registered vehicle scrapping facility.

The buyer's checklist for NCR

1. Identify the fuel type, the Bharat Stage and the exact first-registration date before you negotiate.
2. Check the RC record for any adverse or expired status, and check whether a PUC can be generated at all. If it cannot, walk away.
3. Ask the RTO, in writing if possible, whether a transfer application for that vehicle and that registration date will be accepted today.
4. If the vehicle is an ELV and you intend to keep it outside NCR, get the NOC for re-registration elsewhere before you buy, and confirm the destination state will accept it.
5. Price the risk. A vehicle that cannot be transferred is not a cheap vehicle; it is a scrap value plus a dispute.

> **THE HONEST SUMMARY**
> Outside NCR, age mainly affects price, PUC validity and fitness obligations. Inside NCR, age can remove the vehicle's usability entirely, and the position is interim and changing. If the numbers only work because the vehicle is old, the numbers do not work.

CHAPTER 15

Special situations

Most sales are one adult selling to another adult, both alive, both present, both on the RC. The rest need a different paper trail. Here are the eight situations that come up most, with the document that makes each one work.

Buying from a dealer

A dealer sale is not legally different from a private sale, and the transfer obligation is the same. What differs is that the dealer is usually not the registered owner, so the chain runs through the previous owner. Ask for the previous owner's Form 29 or the dealer's authority to sell, and confirm that the dealer is registered for GST if they are selling as a business, because the invoice and the tax treatment differ. Section 50(2) of the Act provides a separate route where a vehicle is purchased at a public auction conducted by or on behalf of government, and dealers sometimes cite it loosely; it does not apply to a private dealer's stock.

A dealer's written assurance that "the RC will come in 20 days" is worth exactly as much as the paper it is on. Put a holdback in the agreement, and check the VAHAN record yourself.

Buying from an organised platform

The organised platforms carry the strongest process, because their economics depend on clean transfers. Even so, verify the RC record yourself, and read who is legally the seller on the invoice. Where a platform sells as an agent, the transfer still needs the registered owner's Form 29. Where it sells as a principal, the platform's own paperwork should carry the chain. The EVOI report notes that 60 to 65 per cent of buyers in the organised segment are first-time car owners, which is precisely why the paperwork should be read rather than assumed.

The owner has died

Section 50(2) covers this: where the person in whose name a vehicle stands registered dies, the person succeeding to possession must apply to the registering authority for transfer, in the prescribed manner and within the prescribed period. In practice you will need the death certificate, proof of succession (a legal heir certificate, a probate or a succession certificate depending on the state and the dispute risk), the heirs' consent and identity documents, and the usual RC, insurance, PUC and fee. If there is more than one heir, get all of them to sign. A transfer executed on one heir's signature is a transfer that can be unwound.

The seller is an NRI or cannot be present

A power of attorney is the usual route, and it is the document most often done badly. For an NRI seller, the POA should be executed and notarised abroad and then apostilled or consularised, and adjudicated for stamp duty in India where the state requires it. It must name the vehicle by registration, chassis and engine number, authorise the specific act of sale and transfer, and identify the attorney holder by name and address. A general POA that says "all matters relating to my property" will be questioned at the counter.

The vehicle is company-owned

You need the company's board resolution authorising the sale and naming the signatory, the signatory's identity proof, and the company's GST registration where applicable. The RC will show the company as owner, so the Form 29 must be signed by an authorised person and accompanied by the authority. Keep a copy of the resolution; without it, the RTO has no way to know the signature was authorised.

The vehicle was bought at an auction

Bank and insurer auctions are usually clean on paper and ugly on condition. The transfer route is the same, but the seller is the bank or insurer, and you need the sale letter, the possession letter, the NOC for hypothecation removal where the bank itself held the charge, and often the original RC from the previous owner. Budget for a vehicle that has been standing: a battery, tyres, a full service, and a PUC.

Buying an electric vehicle

An EV has no PUC obligation, which removes one document and one fine. Everything else is identical: RC, insurance, hypothecation, transfer, and the battery question. Ask for the battery's age and any warranty transfer terms, because the battery is the single largest cost component and warranties are frequently limited to the first owner. Get the warranty transfer in writing from the manufacturer, not from the seller.

Buying from a family member

The temptation is to skip the paperwork. Do not. A transfer between family members is still a transfer under section 50, and an untransferred vehicle in a family dispute is a vehicle nobody can sell later. Some states offer concessional treatment for transfers within a family; ask your RTO for the current position, and do the transfer.

> **THE RULE BEHIND ALL EIGHT**

> Whoever signs the Form 29 must have the legal authority to transfer that vehicle. Every special situation in this chapter is a question about authority, and every document listed here exists to prove it. If you cannot answer "who has the authority, and where is it written", you are not ready to pay.

CHAPTER 16

When the transfer gets stuck

You did everything right, you filed on time, and the status has not moved for a month. You are now in the situation the EVOI survey found 39 per cent of buyers in. This chapter is the ladder out, in the order that actually works.

First: find out what the file is waiting for

There are only five reasons a transfer file stalls, and each has a different fix.

Reason	How you know	The fix
A document is deficient or unattested	The status shows a deficiency remark, or the counter tells you	Supply the exact document, attested as the state requires, and get a receipt for it
The seller has not filed Form 29 or has not appeared	The record still shows the seller, and the RTO asks for the transferor	Written notice to the seller with a deadline; then an application to the authority recording the seller's default
Party peshi or vehicle inspection is pending	The application is accepted but no appointment is shown	Book the slot; take the vehicle, the originals and both parties if the state requires both
A live hypothecation entry	The RC record shows a financier	Form 35 route or the lender's ULI-based termination; nothing moves until the charge is gone
A system-level block, such as an ELV classification or an unpaid challan	The portal refuses the service, or the status shows a block	Clear the challan; for an ELV block, see Chapter 14 and consider an NOC out of the state

Second: put it in writing, once

A phone call leaves no record. A written application creates one, and it changes how the file is treated. Keep it to one page: the vehicle number, the application or receipt number, the date of filing, the fee paid, what you have supplied, what the status shows, and one specific request with a deadline.

Sample wording: "I applied for transfer of ownership of vehicle [number] on [date] vide application/receipt no. [number] and paid the prescribed fee. The application has shown the status [status] since [date]. All documents required under Rule 55 of the Central Motor Vehicles Rules, 1989 and the document list published on Parivahan have been submitted, as evidenced by the enclosed acknowledgement. I request that the transfer be entered in the certificate of registration, or that I be informed in writing of the specific deficiency within fifteen days." Submit it at the counter and get a stamped receipt, or send it by registered post acknowledgement due and keep the postal receipt.

Third: the escalation ladder

1 The RTO's own grievance desk, with the written application and its receipt.

2. The state transport commissioner's office, addressing the regional transport authority's failure to act.
3. The state's online public grievance portal, which creates a tracked ticket with a reference number.
4. CPGRAMS, the central government's grievance portal, which routes to the ministry and the state.
5. A representation to the Ministry of Road Transport and Highways, which does not decide individual cases but does record patterns; the EVOI exercise itself came out of exactly this kind of pressure.

At every step, quote the same facts and attach the same set. A file that is consistent is a file that is hard to ignore.

Fourth: the legal options, and when they are worth it

If the failure is the seller's, your remedy is contractual: the agreement to sell, the indemnity clause, and a civil claim for the loss caused by the delay. If the failure is the authority's, the remedy is a writ petition for mandamus, which is expensive relative to the value of most used vehicles, and is normally worth it only where the vehicle's usability is at stake. A consumer complaint lies against a dealer or platform that sold you a vehicle it could not transfer, under the Consumer Protection Act, 2019, where the misrepresentation is documented.

The cheapest real remedy, in most cases, is the holdback from Chapter 8. Money you have not paid is leverage. Money you have paid is a claim.

> **THE 60-DAY HABIT**
> Whatever happens, check the VAHAN record at 30 days and at 60 days. If the name has not changed by day 60, stop waiting and start the ladder. The people who lose the most in this system are not the ones who were cheated; they are the ones who waited politely for a year.

CHAPTER 17

If you have already been cheated

This chapter assumes the worst: you paid, and something is wrong. It is organised by what went wrong, because the remedy is different in each case, and the first week matters more than the first month.

Case 1: a live loan you did not know about

Do not hand the vehicle over to a recovery agent who arrives without paper, and do not pay the lender's demand before you have the facts. First, get the loan account details and the hypothecation entry in writing from the lender and from the VAHAN record. Second, gather your evidence: the agreement to sell, the NOC you were given, the payment proof, and the seller's identity documents. Third, file a written complaint with the police, because a forged NOC or a suppressed charge is a cognisable matter, and a police complaint is what converts a civil dispute into a record. Fourth, notify the lender in writing that you are a bona fide purchaser and that the vehicle is in your possession, so that the lender's records show a dispute rather than a repossession.

Bengaluru police, describing organised syndicates operating in this space in October 2026, advised buyers to verify the RC, ownership history, loan status and pending fines on VAHAN before paying, and to confirm any NOC directly with the bank. That advice, applied after the fact, is still your evidence

standard.

Case 2: a stolen vehicle

If the vehicle turns out to be stolen, you will lose the vehicle. There is no version of this where the buyer keeps a stolen vehicle. What you can recover is your money, and the route is a police complaint naming the seller, with all your documents attached, followed by a claim against the seller. Move in the first week, before the seller's phone stops working.

Case 3: the seller has disappeared and the transfer cannot proceed

You have possession, you have an agreement, and you have no cooperating seller. File a police complaint recording the facts and the seller's disappearance, and then apply to the registering authority with that complaint, the agreement to sell, the payment proof and an affidavit. Some states will process a transfer on this basis after verification; many will not, and will ask for a court order. This is the situation in which a lawyer is genuinely worth the fee, because the alternative is a vehicle you can drive but cannot sell.

Case 4: a dealer or platform misrepresented the vehicle

Your remedies run under the Consumer Protection Act, 2019, and through the dealer's own written assurances. Collect the listing, the advertisement, the WhatsApp messages and the invoice, and identify precisely what was said and what was true. A consumer commission deals with documented misrepresentation efficiently; it deals poorly with a general complaint that the vehicle was not good.

Case 5: the vehicle is blocked as an End-of-Life Vehicle

If the vehicle was sold to you inside NCR as a usable vehicle and it is already classified as an ELV, you have been sold something that cannot be used, registered or transferred there. Get the classification in writing from the transport department, and treat the sale as a misrepresentation. The practical outcomes are a refund, or an NOC and re-registration outside NCR, and the second is often faster.

The evidence folder, in the first 48 hours

- The agreement to sell, signed, with witnesses.
- Every payment proof: bank statement lines, UPI references, receipts.
- Photographs of the vehicle, the number plate, the odometer and the documents as handed over.
- The seller's identity documents, and the phone number and address used.
- The VAHAN record as it stood on the day of purchase, screenshotted with the date visible.
- All messages, in one export, not scattered across apps.
- A written timeline of what happened, in order, with dates. One page. You will use it repeatedly.

> **THE HONEST LIMIT**
> Recovery in this market is possible but not guaranteed, and it depends almost entirely on how much you documented before you paid. That is why this book spends nine chapters on verification and one on remedy. The remedy chapter exists because sometimes the verification fails; the other chapters exist so that it does not.

WORKSHEETS

Ten pages to print and carry

Print these, or copy them into a notebook. A checklist you fill in while standing next to the vehicle is worth more than a book you read once. Each worksheet corresponds to a chapter, and the chapter number is printed with it.

Worksheet 1: The nine free checks (Chapter 3)

Vehicle registration number: _____ Date checked: _____

Check	What you found	Pass?
1. VAHAN / mParivahan RC record		
2. Insurance record and validity		
3. Hypothecation, confirmed with the lender		
4. PUC certificate and validity		
5. Pending e-challans		
6. Stolen vehicle indicators		
7. Seller identity matches the RC		
8. City age rules for this fuel and BS		
9. Paper chain complete and continuous		

Worksheet 2: The document request to send before you travel (Chapter 4)

Send this as one message. A seller who answers it fully is a seller worth visiting.

1. Photograph of the RC, both sides, all four corners visible.
2. Photograph of the insurance certificate, showing the policy number and the validity dates.
3. Photograph of the PUC certificate.
4. Confirmation of whether any loan or hypothecation exists or existed on the vehicle.
5. If a loan existed, the NOC and the loan account number.
6. Whether the vehicle has ever been registered in another state, and if so, the Form 28 NOC.
7. Confirmation of any accident, flood or major repair, in writing.
8. The service record, if available.
9. The number of keys.
10. Confirmation that all challans are paid.

Worksheet 3: Car inspection scorecard (Chapter 5)

Score each line P (pass), C (concern, price it), or R (reject). Reject on any R in the chassis or numbers block.

Block	Points to score	Score
Identity	Chassis number matches RC; engine number matches RC; VIN plate matches both	
Paint and body	Panel shades; magnet test on all panels; panel gaps; bolt tool marks; overspray	
Structure	Boot floor creases; seam sealer; radiator support; front cross member	
Glass	Brand and date code on every pane	
Flood	Carpet damp; seat rails; seat belts; fuse box; light housings; silt under dash	
Engine cold start	Rattle; exhaust colour; crank time; oil cap residue	
Fluids	Engine oil; coolant; brake fluid; leaks at head, sump, timing cover	
Transmission	Shift quality; slip; thud on engagement; whine in neutral	
Suspension	Bounce test on all four corners; clunk over a breaker; CV joint click	
Steering	Pull on a straight road; play; return to centre	
Tyres	Date codes on all five; uneven wear; brand consistency	
Electricals	All windows, mirrors, lights, wipers, horn, indicators, central locking, both keys	
Air conditioning	Cold within two minutes from cold start; compressor cycling; smell	
Instruments	Warning lights after start; odometer consistency with service record and wear	
Underneath	Floor pan; sills; subframe; exhaust; fuel and brake lines	
Plates	Rivet condition; plate age against vehicle age	

Worksheet 4: Two-wheeler inspection card (Chapter 6)

Block	Points to score	Score
Papers	RC, insurance, PUC in original; numbers match; hypothecation clear	
Frame	Frame number legible and unstamped-over; no crease at the steering head	
Alignment	Wheels in line when sighted from behind; no pull on a straight road	
Forks	Oil film at seals; pitting on chrome; no bend	
Wheels	Rim wobble; bearing grind; spoke or alloy cracks; tyre dates	
Engine	Cold start; timing chain rattle; blue smoke on rev; oil leaks	
Drive	Chain slack; hooked sprocket teeth; belt condition	
Brakes	Hard stop from 40 km/h; judder; lever feel; pad life	
Gearbox	False neutral; slip; jump out of gear	
Suspension	Knock over rough ground; swingarm pivot play	
Electricals	All lights, horn, indicators, self-start, battery date	

Worksheet 5: Price and total cost calculator (Chapter 7)

Line	Amount (Rs)
Agreed sale price	
Less: value of defects found in inspection	
Less: challans the seller agreed to bear	
Add: transfer of ownership fee (Rule 81, half the registration fee for the class)	
Add: smart card or RC printing charges	
Add: hypothecation termination, if applicable	
Add: insurance transfer fee and any NCB recovery	
Add: NOC and re-registration, if moving states	
Add: destination state road tax, if moving states	
Add: immediate repairs (tyres, service, battery, PUC)	
Total cost of ownership on day one	
Compare: current insurance IDV	
Compare: highest retail asking price for the same model and year in your city	

Worksheet 6: Payment gate log (Chapter 8)

Gate	Amount	Released on	Date	Reference
1. Token, after the nine checks		Nine checks passed		
2. After physical inspection		Numbers verified on the vehicle		
3. Against document handover		Originals received and listed		
4. At delivery		Form 29 signed in duplicate		
5. Balance		RTO acknowledgement or new RC		

Worksheet 7: Transfer tracker (Chapter 9)

Milestone	Target date	Actual date	Reference number
Form 29 signed by seller			
Form 30 filed on Parivahan			
Fee paid, receipt downloaded			
Documents uploaded or submitted			
Party peshi / vehicle inspection attended			
Insurance transfer applied for			

Milestone	Target date	Actual date	Reference number
RC record shows the new owner at 30 days			
RC record shows the new owner at 60 days			
New RC card received			

Worksheet 8: Hypothecation verification (Chapter 10)

Question	Answer
Does the RC show a financier today?	
Name of the lender and loan account number	
Is the lender on the ULI automated termination system?	
VAHAN SMS confirming removal received? Date	
Form 35 signed by owner and financier?	
Financier's certificate of full dues received?	
Written confirmation from the lender that no charge subsists?	
RC record re-checked after the stated processing time?	

Worksheet 9: Seller's handover receipt (Chapter 13)

Vehicle: _____ Chassis: _____ Odometer at delivery: _____

I, the undersigned seller, confirm that on this date I have delivered the above vehicle to the buyer named below, together with the documents ticked here: original RC, insurance certificate, PUC certificate, Form 29 duplicate, Form 35 and financier clearance (if applicable), Form 28 NOC (if applicable), spare keys (number: ____), service record, and the signed agreement to sell.

I confirm the vehicle is free from all encumbrances, that no loan or hypothecation subsists, and that all challans up to this date have been paid. The buyer undertakes to apply for transfer of ownership in Form 30 within thirty days, and to indemnify me against all challans, taxes and claims arising after the date of delivery.

	Name	Signature	Date
Seller			
Buyer			
Witness 1			
Witness 2			

Worksheet 10: Escalation letter template (Chapter 16)

To: The Registering Authority, [RTO name]

Subject: Application for transfer of ownership of vehicle [registration number], application/receipt no. [number] dated [date], pending since [date].

I applied for transfer of ownership of the above vehicle on [date] and paid the prescribed fee under Rule 81 of the Central Motor Vehicles Rules, 1989, vide receipt no. [number]. All documents required under Rule 55 of the said Rules and the document list published on Parivahan have been submitted, as evidenced by the enclosed acknowledgement. The application has shown the status "[status]" since [date], and no deficiency has been communicated to me in writing.

I request that the transfer of ownership be entered in the certificate of registration, or that I be informed in writing of the specific deficiency, within fifteen days of the date of this representation.

Enclosures: application receipt; fee receipt; document acknowledgement; copy of the RC; copy of the agreement to sell; identity proof.

Yours faithfully, [name], [address], [phone], [email]. Date: _____ Received by: _____

REFERENCE

Glossary of sixty terms

Terms are defined as they are used in Indian motor vehicle practice, not as they might be defined in a dictionary. Where a term has a specific legal source, the source is named.

Agreement to sell	A contract recording the terms of a vehicle sale. There is no statutory form; its clauses are what a dispute is decided on.
Bharat Stage (BS)	India's emission norm standard. BS-IV and BS-VI vehicles get a twelve-month PUC validity under Rule 115(7) of the CMVR; older vehicles get six months.
BH series	Bharat series registration mark introduced in August 2021, which does not require a new registration mark when the owner moves states. Available on a voluntary basis to specified categories of employees.
Blacklist entry	A flag in the registration record that blocks specified services, typically arising from enforcement action or a court order.
Certificate of registration (RC)	The document, and the record, that establishes who owns a vehicle for the purposes of the Motor Vehicles Act.
Chassis number	The vehicle identification number stamped on the frame. Must match the RC, the VIN plate and the insurance certificate.
CMVR	Central Motor Vehicles Rules, 1989. The rules that operationalise the Motor Vehicles Act, including Rules 54, 55, 58, 81 and 115 cited in this book.
Complete Insulations	Complete Insulations (P) Ltd v New India Assurance Co Ltd (1995), where the Supreme Court confined the section 157 deeming fiction to third-party cover.
Deemed ownership	State-level provisions that treat a person in possession as the owner in specified circumstances. The EVOI 2026 report counts 22 states with such provisions, with limited ground adoption.
Deemed transfer	The rule in section 157(1) that the insurance policy is treated as transferred to the buyer from the date of transfer of the vehicle.
ELV	End-of-Life Vehicle. In Delhi-NCR, diesel vehicles over ten years and petrol vehicles over fifteen years, subject to the current Supreme Court position.

e-challan	An electronically issued traffic challan, checked against the registration number on the Parivahan e-challan service.
Encumbrance	A claim, charge or lien on the vehicle, most commonly a hypothecation in favour of a lender.
Engine number	The number stamped on the engine. Must match the RC and the insurance certificate.
Form 27	Application for assignment of a new registration mark, under Rule 54 of the CMVR.
Form 28	Application for a No Objection Certificate, under section 48 of the Act and Rule 58 of the CMVR.
Form 29	Notice of transfer of ownership, filed by the seller under Rule 55(1). The document that starts the transfer.
Form 30	Application for intimation and transfer of ownership, filed by the buyer under Rule 55(2) and (3).
Form 35	Notice of termination of a hire-purchase, lease or hypothecation agreement, used to remove a charge from the RC.
Form 60 and 61	Declarations used where a person does not hold a PAN, referenced in the transfer document list.
Fitness certificate	The certificate that a transport vehicle must hold and renew; separate from registration for private vehicles.
Green tax	A state levy on older vehicles, applied in some states at re-registration or renewal.
Hire-purchase	A financing arrangement in which the lender retains an interest until the last instalment; treated like hypothecation for ownership purposes.
Hypothecation	The charge a lender registers on a vehicle it has financed. Appears in the RC record and must be terminated when the loan closes.
IDV	Insured Declared Value. The insurer's valuation of the vehicle at the start of the policy year, used to settle a total loss.
India Motor Tariff	The tariff that governs motor insurance practice, including General Regulation 17 on transfer of cover.
IRDAI	Insurance Regulatory and Development Authority of India. Its Motor Insurance Handbook is the consumer guidance cited in Chapter 11.
Jan Vishwas Act 2026	The Jan Vishwas (Amendment of Provisions) Act, 2026 (Act 8 of 2026), in force for the Motor Vehicles Act from 15 August 2026. Changed, among others, sections 157, 177, 190 and 196.
Lien	A lender's right over the vehicle, recorded as hypothecation in the RC.
M.C. Mehta	The Supreme Court matter in which the NCR age-based restrictions were approved on 29 October 2018.
Motor Vehicles Act, 1988	The principal statute. Sections 2(30), 47, 48, 50, 146, 157, 177, 190 and 196 are cited throughout this book.
mParivahan	The Ministry of Road Transport and Highways mobile application for vehicle and licence services.
Naveen Kumar v Vijay Kumar	Supreme Court, 6 February 2018. Held that a registered owner who has sold a vehicle but remains on the record is not absolved of liability.

NCB	No Claim Bonus. A discount on own-damage premium that belongs to the insured person, not to the vehicle, per IRDAI's handbook.
NCRB clearance	A clearance from the National Crime Records Bureau required for certain NOC applications in some states.
NOC	No Objection Certificate. Issued under section 48 where a vehicle is moving to another state, or by a lender releasing its charge.
Odometer	The distance recorder. Its reading should be cross-checked against the service record, tyre wear and insurance claims.
Own-damage cover	The section of a package policy that pays for damage to the insured vehicle itself, as distinct from third-party liability.
PAN	Permanent Account Number. Required, or Form 60 and 61 in its place, in the transfer document list.
Parivahan Sewa	The Ministry of Road Transport and Highways portal for vehicle and licence services, including transfer of ownership.
Party peshi	The physical appearance of the parties at the RTO for verification, required in most states for a transfer.
Pencil print	An impression of the chassis and engine numbers, still required by several states in the transfer file.
Power of attorney	A document authorising another person to act for the owner, used where the seller cannot be present. Must name the vehicle and the specific act.
Pro-rata refund	The refund of unexpired road tax claimed from the original state after re-registration elsewhere. The EVOI 2026 study found working refunds only in Andhra Pradesh and Telangana.
PUC / PUCC	Pollution Under Control Certificate. Required after one year from first registration; six months' validity, or twelve for BS-IV and BS-VI.
RC card	The smart card form of the registration certificate. A reissued card usually carries a fresh issue date.
Registered owner	The person whose name appears in the registration record. The owner for the purposes of the Act, subject to section 2(30).
Rule 54	CMVR rule governing assignment of a new registration mark, including the thirty-day window after twelve months.
Rule 55	CMVR rule governing transfer of ownership, prescribing Forms 29 and 30.
Rule 58	CMVR rule governing the No Objection Certificate, prescribing Form 28 and its accompanying documents.
Rule 81	CMVR rule prescribing fees, including transfer of ownership and termination of hypothecation.
Rule 115	CMVR rule on emissions, including sub-rule (7) on PUC validity.
RVF / RVSF	Registered Vehicle Scrapping Facility, licensed under the Motor Vehicles (Registration and Functions of Vehicle Scrapping Facility) Rules, 2021.
Section 2(30)	The definition of "owner" in the Motor Vehicles Act, 1988.
Section 47	Assignment of a new registration mark on removal to another state, after twelve months.

Section 48	No Objection Certificate from the registering authority.
Section 50	Transfer of ownership: the fourteen-day, forty-five-day and thirty-day clocks, and the penalty for default.
Section 157	Transfer of the certificate of insurance. Deemed transfer from the date of transfer; thirty days to apply to the insurer since 15 August 2026.
Section 196	Driving uninsured. From 15 August 2026, three times the base premium or Rs 5,000, whichever is higher, for a first contravention.
Superdari	A vehicle held under a court or police order. A vehicle that is superdari cannot be transferred; Form 29 carries a declaration on this.
ULI	Unified Lending Interface, operated by the Reserve Bank Innovation Hub. Carries the automated hypothecation termination service with MoRTH from 1 March 2026.
VAHAN	The national vehicle registration database and the citizen services built on it. The primary source for the RC record.
Vardhaman Kaushik	The NGT matter in which the NCR age-based bans were imposed on 26 November 2014 and 7 April 2015.

SOURCES

Where every fact in this book comes from

This book uses primary and official sources wherever a number or a rule appears. Where a fact comes from a study or a news report rather than a statute, that is stated in the text. Nothing in this book is estimated, and nothing is invented. Where the position is genuinely unsettled, the text says so.

Legislation and rules

- The Motor Vehicles Act, 1988, as amended, including the Motor Vehicles (Amendment) Act, 2019 and the Jan Vishwas (Amendment of Provisions) Act, 2026 (Act 8 of 2026) - sections 2(30), 47, 48, 50, 146, 157, 177, 190 and 196, with amendment notes.
- The Jan Vishwas (Amendment of Provisions) Act, 2026, No. 8 of 2026, assented 7 April 2026, published in the Gazette of India on 8 April 2026, Schedule entry 51 for the Motor Vehicles Act.
- MoRTH notification S.O. 4100(E) dated 24 July 2026, bringing the Motor Vehicles Act amendments into force on 15 August 2026.
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> **A NOTE ON DATES AND CHANGE**
> The law described here is as it stands in November 2026. Two areas are moving: the Supreme Court's interim position on NCR end-of-life vehicles, and the larger bench reference on the scope of section 157. Both are flagged in the text where they matter. Before you rely on any figure for a payment, read the number on the government screen in front of you; that number is the one that applies.

CLOSING

The ten rules

If you remember nothing else from this book, remember these. They are the whole argument, compressed.

1. The purchase is not complete when you pay. It is complete when the RC shows your name, or when you hold the RTO's acknowledgement.
2. Until then, the person on the RC is the owner in law. That is section 2(30), and the Supreme Court applied it in Naveen Kumar in 2018.
3. Run the nine free checks before you negotiate a price, not after. They take forty minutes.
4. Never accept a bank NOC as proof that a charge is gone. Confirm it with the lender, in writing, and check the RC record yourself.
5. Pay in gates. Token after the checks, bulk at delivery against a signed Form 29, balance against the RTO acknowledgement.
6. The seller's Form 29 is a document you hold, not a promise you accept.
7. Get the insurance transfer recorded inside fourteen days, even though the statute now allows thirty.
8. If the vehicle will live in Delhi-NCR, check the fuel type, the Bharat Stage and the registration date before anything else.
9. For an inter-state purchase, price the destination state's road tax into the deal and treat the refund as a bonus, not a plan.
10. Check the VAHAN record at 30 days and at 60 days. If nothing has moved by day 60, start the escalation ladder the same week.

Everything in this book is drawn from the Motor Vehicles Act and the Central Motor Vehicles Rules, the Parivahan and VAHAN document lists, IRDAI's own consumer guidance, judgments of the Supreme Court, and the November 2026 Ease of Vehicle Ownership Index. Where the position is unsettled, the book says so rather than guessing. Where a state differs, it tells you to read the screen in front of you. That is the standard this playbook holds itself to, and it is the reason it is worth the money you paid for it.

Now go and buy a vehicle properly.